

Justification and Approval Notice

SUBJECT* Justification and Approval to Sole Source for Bloomington CBOC in Bloomington, IN.
Short-Term until VA Staff model facility is Complete in September 2025

GENERAL INFORMATION

CONTRACTING OFFICE'S ZIP CODE*	48105
SOLICITATION NUMBER*	36C25025Q0303
DELIVERY/TASK ORDER NUMBER	36C25025N0462
BASE NOTICE TYPE	S
ARCHIVE	99 DAYS AFTER THE RESPONSE DATE
RECOVERY ACT FUNDS	N
PRODUCT SERVICE CODE*	Q201
NAICS CODE*	621498

CONTRACTING OFFICE ADDRESS

Department of Veterans Affairs
Network Contracting Office 10
24 Frank Lloyd Wright Dr., Ste M2200
Ann Arbor MI 48105

POINT OF CONTACT*

Contracting Officer
Michelle C. Ford
Michelle.Ford2@va.gov
734-222-7151

AWARD INFORMATION

STATUTORY AUTHORITY*	FAR 6.302-1 - Only one responsible source (except brand name)
AWARD NUMBER*	36C25025D0051
MODIFICATION NUMBER	

*= Required Field

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AWARD AMOUNT*	3,314,784.00
LINE ITEM NUMBER	
AWARD DATE (MM-DD-YYYY)*	03-06-2025
AWARDEE NAME*	VALOR HEALTHCARE INC
CONTRACTOR'S UEI	TB2ELWL2QEB5
AWARDEE ADDRESS LINE 1*	
AWARDEE ADDRESS LINE 2*	
AWARDEE ADDRESS LINE 3*	14643 DALLAS PKWY
AWARDEE ADDRESS LINE 4*	STE 100
AWARDEE CITY	DALLAS
AWARDEE STATE	TX
AWARDEE ZIP CODE	75254

ADDITIONAL INFORMATION

AGENCY'S URL	https://www.va.gov/indiana-health-care/locations/richard-l-r
URL DESCRIPTION	Richard L. Roudebush, VA Medical Center
AGENCY CONTACT'S EMAIL ADDRESS	Michelle.Ford2@va.gov
EMAIL DESCRIPTION	Contracting Officer

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DESCRIPTION

DEPARTMENT OF VETERANS AFFAIRS

Justification and Approval (J&A) For Other Than Full and Open Competition (>SAT)

Acquisition Plan Action ID: 36C250-25-AP-2409

1. **Contracting Activity:** Department of Veterans Affairs, VISN 10, procuring on behalf of Richard L. Roudebush, VA Medical Center “parent facility”, in Indianapolis, Indiana for the Bloomington CBOC in Bloomington, Indiana under PR IFCAP# 583-25-2-136-0006.
2. **Nature and/or Description of the Action Being Processed:** This sole source action is for a short-term, fixed price 6-month bridge contract for the Bloomington Community-Based Outpatient Clinic (CBOC) where the contractor shall provide multi-specialty CBOC services. The services consist of both primary and mental health care and two more specialty services physically on-site until the VA staff model CBOC is opened in September 2025.
3. **Description of Supplies/Services Required to Meet the Agency’s Needs:** The contractor shall provide fixed price primary care services via a community-based outpatient clinic (CBOC) in Bloomington, Indiana for the “parent facility”, Richard L. Roudebush, VA Medical Center in Indianapolis, Indiana. Primary Care Services shall be provided at a fixed rate paid to the healthcare provider for each patient they treat over a 6-month period of time. Also known as a capitation rate. The capitation rate for these services shall be \$125.56 at an estimated 4,400 per member per month (PMPM) for an estimated total cost of \$3,314,784.00 for a six (6) month short-term bridge contract. The period of performance shall be March 23, 2025, through September 22, 2025.
4. **Statutory Authority Permitting Other than Full and Open Competition:**
 - (X) (1) **Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements per 41 USC §3304(a)(1) as implemented by FAR 6.302-1.**
 - () (2) Unusual and Compelling Urgency per 41 USC §3304(a)(2) as implemented by FAR 6.302-2.
 - () (3) Industrial Mobilization, Engineering, Developmental or Research Capability or Expert Services per 41 USC §3304(a)(3) as implemented by FAR 6.302-3.
 - () (4) International Agreement per 41 USC §3304(a)(4) as implemented by FAR 6.302-4
 - () (5) Authorized or Required by Statute per 41 USC §3304(a)(5) as implemented by FAR 6.302-5.
 - () (6) National Security per 41 USC §3304(a)(6) as implemented by FAR 6.302-6.
 - () (7) Public Interest per 41 USC §3304(a)(7) as implemented by FAR 6.302-7.

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5. Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):

Valor Healthcare is the only contractor within the Bloomington, Indiana catchment area that can provide primary care services while the new VA staff model CBOC is being built and made operable. The current contractor's (Valor Healthcare) Bloomington facility is 13,000 square feet and provides multi-specialty services which consist of both primary and mental healthcare and two or more specialty services physically on-site.

The Bloomington CBOC currently has credentialed and privileged staff running the facility. The real property lease building renovation and transition to a VA-staffed CBOC is moving forward with no foreseeable delays, with September 15, 2025 scheduled as the opening. The VA-staffed model CBOC will eliminate the need for a new long-term contract for CBOC services. Due to space constraints, the nearest CBOC in Martinsville, Indiana cannot accommodate the additional patient load from the Bloomington CBOC. If this short-term bridge contract is not awarded, the only other alternative is to send veterans to community care for services.

The current contractor has been fulfilling the contract's requirements effectively since August 1, 2019, under Contract Number 36C25019D0043. The contract's scope involves direct patient care, and the contractor has delivered services in accordance with the Statement of Work, demonstrating reliable performance. As a result of the renovation associated with the real property lease for the CBOC space, a gap has been created between the expiration of the current CBOC contract, which will expire March 22, 2025, and the transition to the new VA-staffed CBOC, making it unfeasible for the transition to occur without a bridge contract.

The continuation of services under the bridge contract is necessary to ensure uninterrupted operations. The length of the bridge contract is such that it would not be sufficient to conduct a competitive procurement, onboard a new contractor, and transfer the necessary functions without significant disruption to operations and, ultimately, patient care. It would neither be cost-effective nor realistic to transition to a new contractor during this interim period due to several factors. Transition to a new contractor would require significant start-up costs, such as the setup of necessary highly-specialized infrastructure, training, and familiarization with the specific requirements of services. These costs would likely exceed the cost of continuing with the current contractor under the bridge contract.

A new contractor would require a phase-in period to understand and effectively perform the scope of work, technical specifications, and operational needs. This phase-in period would take valuable time, during which the contractor would not be fully operational, thereby causing delays and disruptions. In addition, the new contractor would need to familiarize themselves with the site-specific conditions and Government Furnished Property (GFP) which would further delay services. Transferring GFP to a new contractor involves coordination and time-consuming logistics. This process often requires detailed documentation, inspections, and physical transfer of items, all of which could disrupt ongoing operations. These delays and costs would make it impractical to transition during such a short interim period.

A new contractor would also need to recruit and hire qualified personnel to fulfill the contract's requirements. This recruitment process can be time-consuming and costly. Furthermore, there would be risks associated with staffing gaps and the potential for not

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being able to attract qualified personnel within the limited timeframe, which could significantly affect performance. Accordingly, Valor Healthcare has many years of successfully performing CBOC service contracts and, as the incumbent, has exhibited successful performance under the current contract. They are uniquely positioned to provide seamless, uninterrupted services under the bridge contract.

Valor Healthcare, Inc is the only firm capable of providing the supplies and services described in Section III above without the Veteran's Health Administration experiencing unacceptable delays in fulfilling its requirements and any unacceptable delays in patient care.

6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:

An intent to Sole Source these services was issued and successfully posted to SAM.gov on February 13, 2025, under 36C25025Q0303 with responses due on February 20, 2025. The notice stated that the Department of Veterans Affairs (VA), Richard L. Roudebush, VA Medical Center in Indianapolis, Indiana intends to award a fixed price 6-month, short-term contract for Primary Care and Primary Care Mental Health services via a community-based outpatient clinic (CBOC) in Bloomington, Indiana due to a transition to a VA-staff model CBOC. One company responded but provided no information as to their capability to provide services. Consequently, no consideration was provided to the response.

7. Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable: The Contracting Officer will use the price analysis techniques in FAR 15.404-1(b) to determine the price fair and reasonable.

8. Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:

As described in Section 5 above, a notice was issued on SAM.gov advising industry of the government's pending intent to sole source this short-term requirement due to the new VA Staff model Community-based outpatient clinic (CBOC). Limited market research was conducted based on the uniqueness of this situation.

It is neither practical nor realistic to expect a new contractor to begin work immediately.

A check of VetCert was performed with 271 SDVOSBs identified under NAICS 621498. Due to the unique circumstances as described in Section 4 above, the VA Rule of Two could not be satisfied.

9. Any Other Facts Supporting the Use of Other than Full and Open Competition: None.

10. Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:

Valor Healthcare, Inc.
2100 S. Liberty Dr.
Bloomington, IN. 47403

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11. A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required: The government will continue to perform strategic market research during contract performance and during any future procurement to identify any additional sources for these services.

12. Requirements Certification: I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

Richard L. Roudebush, VAMC

Date

Richard L. Roudebush, VAMC

Date

13. Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP:](#)

- a. **Contracting Officer Certification (required):** I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

Michelle C. Ford
Contracting Officer
Network Contracting Office 10

Date